TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

Australian Financial Review (Phillip Coorey and Ronald Mizen)
5 November 2026

Productivity inquiry barred from looking at tax and workplace laws

> The Productivity Commission's interim report on business dynamism focuses on red tape, management and insolvency. The Treasurer kept tax, industrial relations and mergers out of scope, and business groups are angry.

WHAT HAPPENED

- Inquiry participants said tax and workplace relations were key to business dynamism, but the terms of reference ruled them out.
- The BCA and the business chamber ACCI said a productivity review without tax and IR can't diagnose the real problem.
- Red tape costs business about $160b a year. A typical business needs 14 licences, while dairy farmers need 46 and scientific research firms need 59.
- Australian management is almost 10% less productive than in the US. Only 59% of Australian firms used AI in December 2025, compared with 78% in the US and 71% in the UK.
- Proposals include a one-year bankruptcy option for people with debts under $50,000 and a government liquidator for insolvent companies with no assets.

$160b
Annual cost of regulatory compliance to business

~10%
Productivity gap between Australian and US management

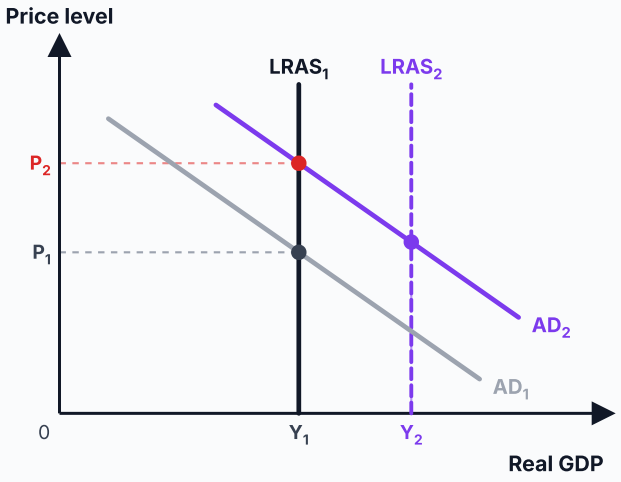
59% v 78%
Firms using an AI tool: Australia v US (Dec 2025)

Business dynamism: how easily firms enter, grow and exit, which drives reallocation and productivity

Microeconomic reform: policies that improve efficiency and productivity in particular markets

DIAGRAM

Why productivity lets the economy grow without inflation



When demand grows faster than capacity (**AD_1 to AD_2** against a fixed **$LRAS_1$**), the result is inflation (**P_1 to P_2**). This is the RBA's current problem.

Reforms that cut red tape and lift management quality shift capacity out to **$LRAS_2$**, so output can rise to **Y_2** without extra price pressure.

Exam angle: Link structural reform to **monetary policy**: higher productivity raises the economy's 'speed limit', so the RBA doesn't have to hold rates as high. Note the **limitation**: reforms take years to work.

SYLLABUS LINK

Topic 4 – Microeconomic and structural reform: productivity, regulation, competition and business dynamism.

TRY THIS

1. Explain how reducing regulation could improve productivity. **(4 marks)**
2. Using an AD/AS diagram, explain how productivity growth reduces inflationary pressure. **(5 marks)**

Read more: AFR – Government gags PC from examining tax and IR impacts on business (5 Nov 2026)

Summary written in our own words for classroom use